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NOTE

From:	General Secretariat of the Council
To:	Permanent Representatives Committee
Subject:	Draft Council conclusions on "Orientations on the European contribution in establishing key principles for the global space economy" - <i>Preparation for the approval</i> - <i>Decision to use the written procedure for the adoption</i>

I. INTRODUCTION

1. The Council Conclusions on "Orientations on the European contribution in establishing key principles for the global space economy" have been prepared in view of the tenth Space Council meeting, a joint and concomitant meeting of the Council of the European Union and of the ESA Council at Ministerial level¹, to be held on 20 November 2020.

¹ Based on Article 8 of the Framework Agreement between the European Community (EC) and the European Space Agency (ESA)

2. An *ad hoc* procedure was followed, based on the Framework Agreement, that is "without prejudice to the Parties' internal decision-making procedures"², so that the German Presidency of the Council of the European Union, the French and Portuguese co-Presidency of the ESA Council at Ministerial level, the ESA Executive and the Commission held quadrilateral informal exchanges at ten occasions in order to coordinate and converge on a text on "Orientations on the European contribution in establishing key principles for the global space economy" to be adopted by each organisation according to their own procedure. For the Council of the European Union, the text to be adopted is Council Conclusions, whereas for the ESA it is an ESA Resolution. The body of the text is the same for both documents, leaving some room for flexibility on the preamble part to take into account the practices and rules of both organisations.

II. STATE OF PLAY

3. The Presidency presented draft Council Conclusions on "Orientations on establishing key principles for the global space economy" on 11 September 2020 (doc. 10398/20).
4. In the absence of meeting of the Space Working Party due to the current travel restrictions, the delegates exchanged their positions in informal videoconferences of the members of the Space Working Party and in writing at six occasions. They broadly agreed on the last compromise text put forward by the Presidency that was circulated as doc. 12185/20 to the delegates of the Space Working Party and that raised no comments from delegations. It represents an overall balanced package which could allow for its adoption by the Council.

² Article 8, paragraph 4.

III. CONCLUSION

5. Given the current exceptional circumstances, in which Council meetings scheduled cannot always take place, and if so do not always reach the required quorum to adopt acts, and the necessity to establish the position to be presented on behalf of the European Union to the EU-ESA Space Council before that meeting, the Permanent Representatives Committee is invited to:
- confirm its agreement on the text of the Council Conclusions as set out in Annex to this note, and
 - decide, in accordance with the first subparagraph of Article 12(1) of the Council's Rules of Procedure and Article 1 of Council Decision 2020/430, that the Council uses the written procedure for the adoption of the Council Conclusions as set out in Annex to this note.
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Draft Council conclusions

“Orientations on the European contribution in establishing key principles for the global space economy”

The Council of the European Union,

RECALLING

- the Convention for the establishment of a European Space Agency of 1975;
- the Framework Agreement between the European Community – which has been succeeded by the European Union – and the European Space Agency (the “Framework Agreement”), which entered into force in 2004;
- the Treaty on the Functioning of the European Union (TFEU), which entered into force in 2009;

Building a globally competitive and robust European Space economy and support recovery from COVID-19 Crisis

1. HIGHLIGHTS that the European space sector reaches beyond the publicly financed programmes as it is increasingly driven by commercial space activities and that there is a highly competitive European industry and supply chain which enables Europe to participate in and contribute to the global growth of the space economy;
2. WELCOMES the significant progress achieved in the preparation of the future European space activities, upstream and downstream, both with regard to the European Union and the European Space Agency, together with the national space programmes of their respective Member States and other public programmes;
3. STRESSES that the global space arena is characterised by an increased number of space actors – large and small, public and private; and NOTES that the global space economy is growing dynamically both in upstream and downstream sectors and exceeds the value of public programmes. It is driven by innovation and new market opportunities, thus increasingly turning the space sector into a mature and viable market with increasing spill over effects in other markets;
4. UNDERLINES that in this evolving context, Europe needs to reinforce its efforts for strengthening its space programmes, enhancing space commercialisation and fostering the success of European space industry in global markets; and therefore, STRESSES that the strengths and competences of all actors must be mobilised;
5. HIGHLIGHTS the need for the space industry to make full use of the rapidly developing opportunities as well as for the public sector to promote market-based approaches for an increased efficiency in the space sector, in partnership with industry, to use the full market potential;

6. RECOGNISES the need for strengthening the global competitiveness of European space industry and supply chains with regard to international markets including through strengthening a global level-playing field and fostering open economies, including free and fair trade, on the basis of multilateral solutions and reciprocity; in this respect, HIGHLIGHTS that there is a need for Europe to contribute to establishing these key principles for the global space economy;
7. STRESSES that a new approach is needed to encourage space entrepreneurship by promoting access to finance and various funding opportunities, in particular for start-ups, scale-ups, small and medium-sized enterprises and mid-caps in order to yield their full innovation potential; HIGHLIGHTS the benefits of reducing financing costs for satellite operators and of providing creditors with valuable and accessible securities for their loans; and of promoting awareness on international financial instruments;
8. STRESSES the specific role downstream applications play in managing and mitigating the COVID-19 crisis in various fields such as transportation, resource management and telecommunication; and AGREES on the common European objective to overcome the productivity crisis particularly due the COVID-19 threat, via partially public support to industry, in full coherence with applicable laws and in complementarity between the EU, ESA and their respective Member States, also benefitting for the revitalisation of the space industry via opportunities opened by the various public recovery measures;
9. HIGHLIGHTS in general the necessity for EU, ESA and their respective Member States to contribute based on their respective competences to international regulation or principles in multilateral fora in the future; and REITERATES in this context the intention to further enhance European leadership in sustainable use of space;

Fostering European Space Autonomy, Security and Resilience

10. UNDERLINES that space provides the means of supporting decision making through information extracted from space, in-situ and other data, and by providing services that no other sector can provide;
11. RECOGNISES that, also for security-related activities, EU, ESA and their respective Member States have parallel competences in European space policy for determining European needs for technological independence and autonomy, without prejudice to national security;
12. STRESSES the need for European availability of certain components and technological non-dependence and the development of resilient supply chains;
13. REITERATES that it is necessary for Europe to maintain a secure, autonomous, reliable, cost-effective and affordable access to space; HIGHLIGHTS that the European Space Agency together with European industry continue to provide launch systems and their technologies, and that the European Union, ESA and their respective Member States are important customers of European launch services; and STRESSES the benefit of using European launch services for all institutional missions in Europe, and the need for entering in to exploitation services of Ariane 6 and VEGA-C; NOTES the need for discussing future perspectives for ground infrastructures and launcher technologies;
14. NOTES that there are a number of Space Traffic Management initiatives worldwide; UNDERLINES that Europe develops spacecraft collision avoidance, space debris removal techniques, space debris avoidance, operates and develops Space Surveillance and Tracking (SST) capabilities to achieve a higher level of strategic autonomy, in order to manage effectively access and return from outer space and in-orbit operations;

15. RECOGNISES the need for increased European coordinated approach to space traffic management (including technical and operational), in order to preserve its interests, to protect its private and public investments in space in a sustainable manner; and in this view PROPOSES to all competent actors to start a European dialogue together with academia and industry, including a mapping exercise of current regulatory frameworks in Europe to be discussed in a dedicated European conference;
16. WELCOMES that the European Union is exploring the possibility to declare the acceptance of the rights and obligations under the relevant United Nations Treaties and Conventions on Outer Space; and WELCOMES the adoption by the UN General Assembly of the preamble and 21 guidelines for the long-term sustainability of outer space activities; and ENCOURAGES swift implementation;
17. PROMOTES intellectual property rights policies favouring industrial investment, so that effective management and easier access to intellectual property rights in the area of space strengthens the European space industry success and competitiveness;
18. Therefore, STRESSES to use widely the flexibility in public procurement, when offered by the respective rules for intellectual property rights, in particular for small and medium-sized enterprises in order to create opportunities for their commercialisation;
19. STRESSES that cyber safety and security and resilience is of growing importance for preserving the operability and reliability of European operational space systems, on the ground and in space; and UNDERLINES that there is a rapidly growing global market for cyber safety and security and resilience solutions for space resulting in commercial opportunities for the European industry;
20. NOTES that there is already a number of promising space cyber-related initiatives; and INVITES the relevant institutional actors to work on a common European approach for space cyber safety and security and resilience;

Enhancing European space cooperation, including green and digital transition sustainability

21. STRESSES the importance of an innovation strategy for New Space with a focus on increased commercialisation, competitiveness and efficiency and common European objectives in the mid and long-term perspective;
22. STRESSES the essential role of the downstream sector for evaluating and implementing public policies, in particular the green and the digital transition of economies and societies, thus increasing competitiveness and efficiency, creating jobs and economic growth and benefitting non-space sectors; and ACKNOWLEDGES the importance of fostering cooperation between space and non-space sectors in areas such as energy, environment, agriculture, health, connectivity and mobility;
23. ENCOURAGES the European Commission and the ESA Executive to prepare with their respective Member States for full and improved continuation of the Copernicus space and services components beyond the key decision point of 2021, with the aim of the full development of the six Copernicus expansion missions, subject to availability of sufficient funding;
24. STRESSES that space can contribute to international partnerships, especially with Africa, addressing the prospects and challenges that emerge from climate and environmental changes to ensure sustainable development, economic growth and stability;
25. SUPPORTS, without prejudice to priorities already set for the next Sentinels, the extension of Earth observation data towards higher spectral, temporal and spatial resolution, using planned and future generations of satellites, designed and developed based on users' needs, and by teaming with public or private European existing systems and taking into account the security dimension of high spatial resolution data; and also SUPPORTS that the use of artificial intelligence for data analysis should be extended to enable a disruptive development and the creation of new products and markets, which directly translates in benefits for European citizens;

26. STRESSES the importance of coordinated actions by the European Union, the European Space Agency and their respective Member States, based on the parallel competences and respective tasks and responsibilities and fully respecting institutional setting and operational frameworks to strengthen the European Space Policy;
27. INVITES the development of a dialogue on the basis of the EU-ESA Framework Agreement in view of industrial measures and actions necessary to ensure synergies and put in place joint downstream activities and cross fertilisation among public funded programmes in Europe; and when possible through prizes and/or grants to be attributed to SMEs, start-ups, mid-caps, scale-ups, research organisations and laboratories in order to increase users uptake by implementing public policies, creating jobs and economic growth and benefitting non-space sectors;
28. HIGHLIGHTS that in order to reinforce coordination for the development of the overall European Space Policy, including the EU-ESA partnership, the Space Council needs to be strengthened through regular meetings prepared in accordance with the EU-ESA Framework Agreement.
